

Ford



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Background

- Why did Ford choose to issue a green bond in 2021?
 - What were the internal strategic objectives (e.g., capital allocation, sustainability targets)?
 - How did broader market or regulatory trends influence this decision?
- How would investors evaluate whether to participate in the green bond offering?
 - What factors - financial, environmental, or reputational - might influence their decision?
 - How do green bond frameworks, second-party opinions, and use-of-proceeds disclosures impact investor demand?
- Should Ford consider issuing another green bond today?
 - What key considerations and trade-offs exist when compared to a traditional (regular way) corporate bond? (Pricing, investor base, reporting requirements, market perception, etc.)
 - How might evolving ESG expectations, regulatory pressures, or Ford's own sustainability progress affect this decision?
- How has investor perception of green bonds evolved since the 2021 issuance?
 - Has demand for ESG-labeled instruments strengthened or weakened?
 - Has supply of ESG-labeled instruments increased or decreased?

Ford's 2021 Green Bond

Amount Issued

\$2.5B

Internal Strategic Objectives

Financing electrification developments for new vehicles

Reducing the cost of debt by taking advantage of the "greenium"

Cost of Debt for New 10Y Bond

9.625%



April 2020

3.250%



November 2021

External Influences

Growing green bond demand and supply

Established precedent from other companies (EDF, Unilever, Starbucks)

Goal of carbon neutrality by 2050 aligned with the Paris Agreement

Institutionalized standards (Green Bonds Principles)

Use of Proceeds

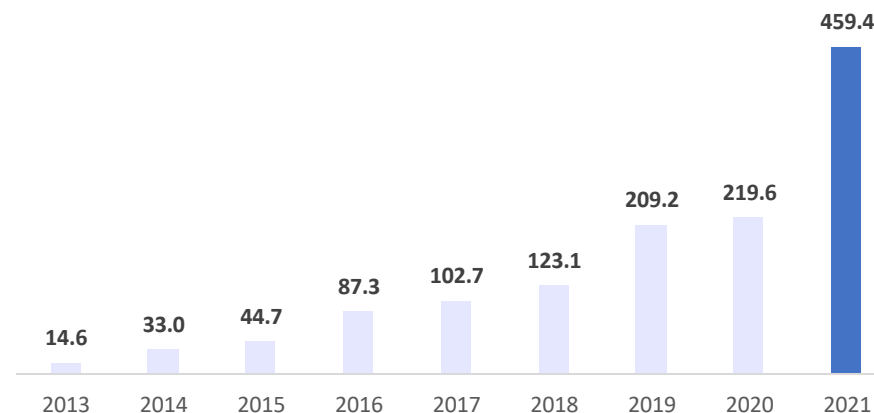
Clean Transportation Projects

R&D for battery and electric vehicles (BEVs)

Manufacturing facility upgrades and modifications to produce zero-emission BEVs

Manufacturing and procurement of BEV components

Green Bond and Sustainability Bond Issuances (\$B)





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Investor Considerations

Financial

Expected ROI

Would a lower yield be justified?

Credit rating

Could this bond affect Ford's rating or liquidity?

Environmental

Alignment with institutionalized standards

Will Ford's use of proceeds comply with the Green Bond Principles?

Added value to established projects

Will proceeds fund new sustainability work?

Reputational

Greenwashing risk

Is the impact independently verified?

Issuer's past ESG-related performance

Has Ford met its past ESG commitments?

Investor Demand

Green Bond Frameworks

- Will likely **increase demand**: Ford can indicate its clear plan for budget allocation, improving trustworthiness
- **Risk**: A narrowly defined framework limits the flexibility of funds for maximum return and impact

Second-Party Opinions

- Will likely **increase demand**: a positive external rating signals outside confidence in the bond
- **Risk**: An unfavorable second-party rating will likely decrease investor confidence

Use-of-Proceeds Disclosures

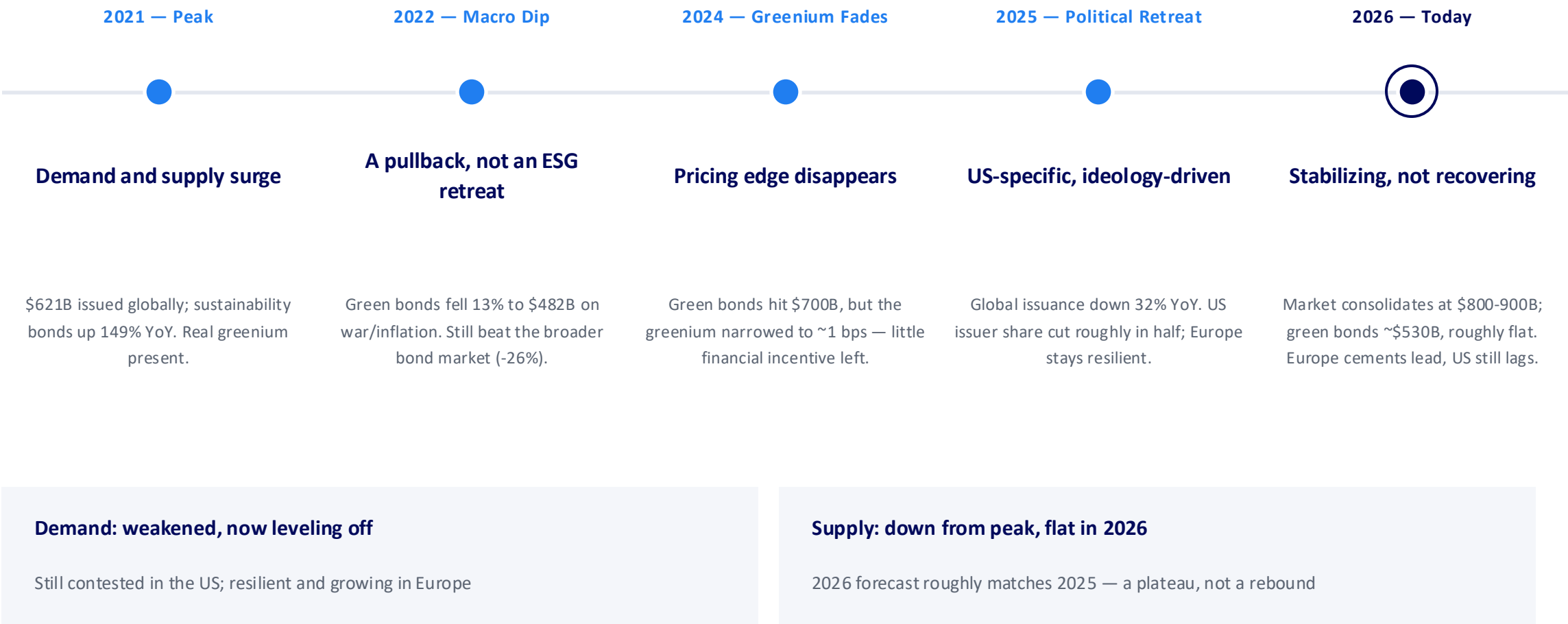
- Will likely **increase demand**: a detailed breakdown signals transparency and guarantees accountability
- **Risk**: Detailed reporting may highlight discrepancies between the planned and actual budget

Green Bond vs. Regular Bond: The Trade-off Today

Factor	Green Bond	Regular Bond
Pricing / Cost of Capital	Greenium has nearly vanished (~1 bp by end of 2024, down from a meaningful spread in 2021), little to no pricing benefit left	Standard market pricing based on credit rating alone ; no ESG-driven premium or discount
Investor Base	Access to ESG-mandated capital pools , but that pool has shrunk in the US amid political backlash	Full conventional fixed-income investor base , unaffected by ESG sentiment shifts
Reporting Requirements	Ongoing annual Sustainable Financing Report , second-party opinion cost, standing Sustainable Finance Committee	Standard disclosure only , no incremental reporting burden
Market Perception	Positive signaling potential , but rising greenwashing scrutiny raises reputational risk if follow-through disappoints	Neutral , no ESG-related scrutiny or signaling upside
Use of Proceeds	Proceeds restricted to eligible green projects (e.g., BEV design/manufacturing)	Fully flexible , proceeds usable for any corporate purpose

Investor Perception, Demand & Supply Since 2021

Demand and supply pulled back sharply in 2025 — 2026 shows stabilization, not a rebound





RECOMMENDATION

Ford should hold off on issuing another green bond today

- The greenium is effectively gone — averaging ~1 bps by late 2024, down from a real, meaningful pricing benefit in 2021. so there is little cost-of-capital upside left to capture
- Ford sits in the two categories hit hardest by the 2025 pullback: it is a US-based issuer borrowing in USD, and US green bond issuance share has been cut roughly in half amid political backlash against ESG
- The growth story is harder to tell than in 2021 — Ford's EV volumes and market enthusiasm have cooled since the original BEV-funding rationale was pitched to investors

This could flip back in Ford's favor if the greenium re-emerges, US ESG sentiment stabilizes, or EV demand reaccelerates enough to make a fresh BEV-funding story compelling again.



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SECTION LABEL / PROJECT NAME

Presentation Title Goes Here

Optional one-line subtitle that frames the topic

Slide Title Framing The Data

Metric A

\$0.0B

Metric B

0.0%

Metric C

\$0.0B

Metric D

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Segment / Category A

Sub-metric A

Sub-metric B

\$0.0B

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Segment / Category B

Sub-metric A

Sub-metric B

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Segment / Category C

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Sub-metric B

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Slide Title That Frames The Three Images Below

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Statement Headline

One or two lines of supporting statement text explaining the point these three images are illustrating.



Slide Title Describing The Topic



First driver or reason, stated as a short header

One to two lines of supporting detail explaining this point in plain language.



Second driver or reason, stated as a short header

One to two lines of supporting detail explaining this point in plain language.



Third driver or reason, stated as a short header

One to two lines of supporting detail explaining this point in plain language.



Slide Title Framing The Comparison

Column A Label

- First point under this column
- Second point under this column
- Third point under this column

Column B Label

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- Third point under this column

Slide Title Describing The Timeline

